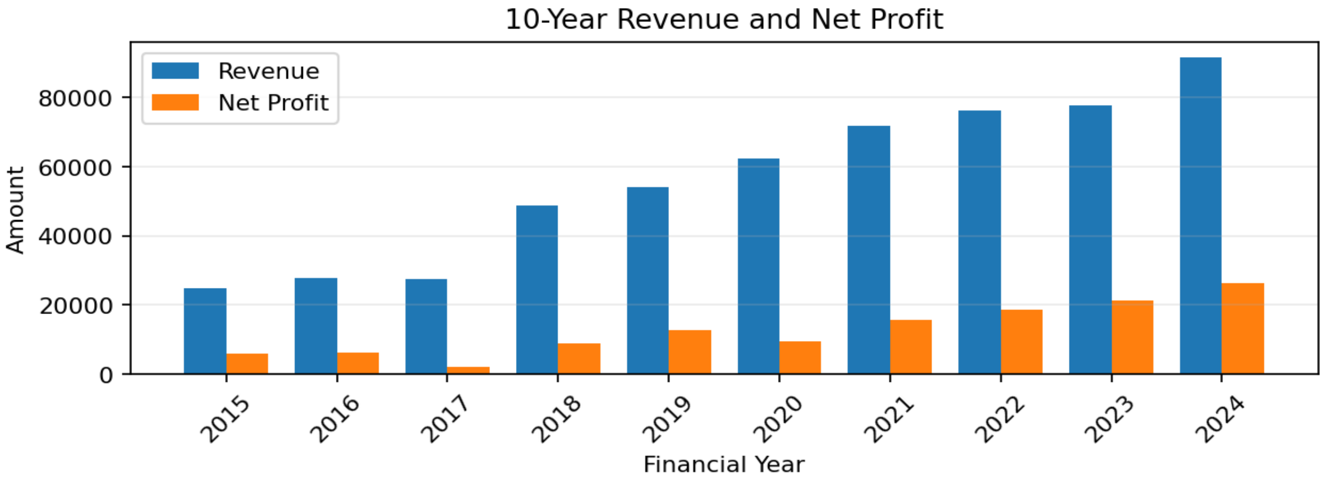
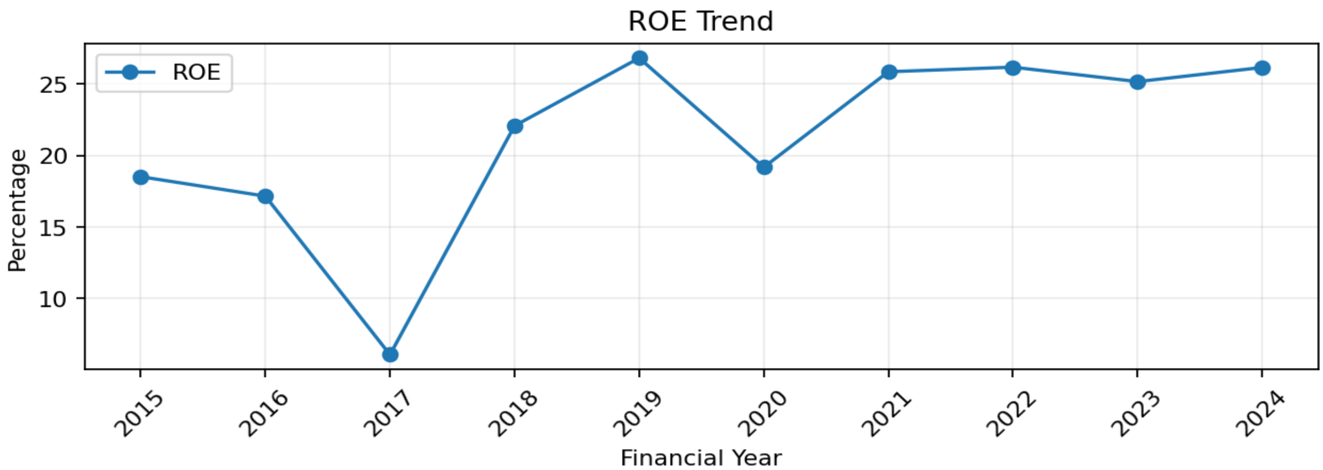
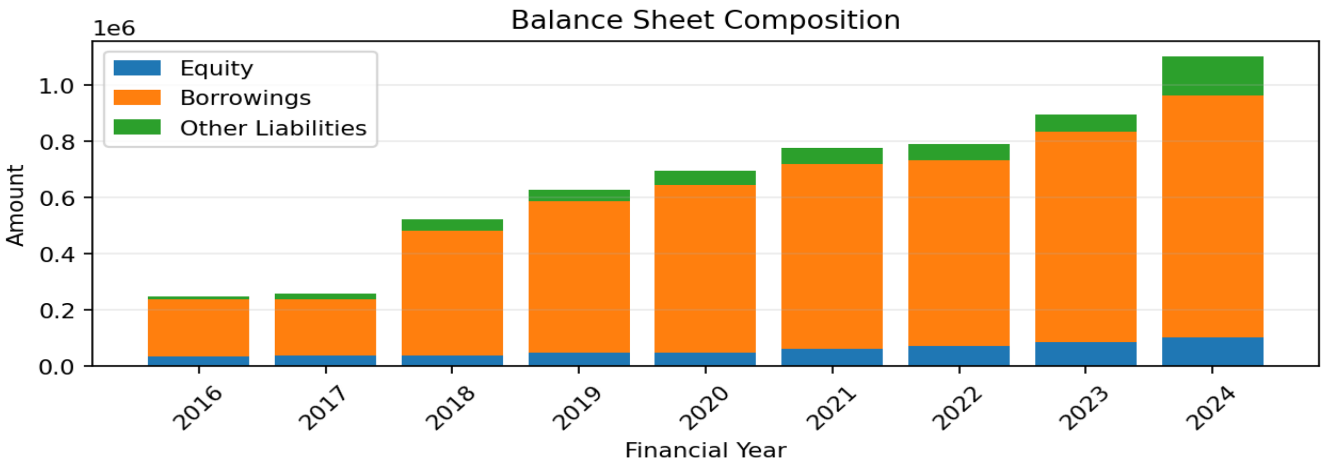
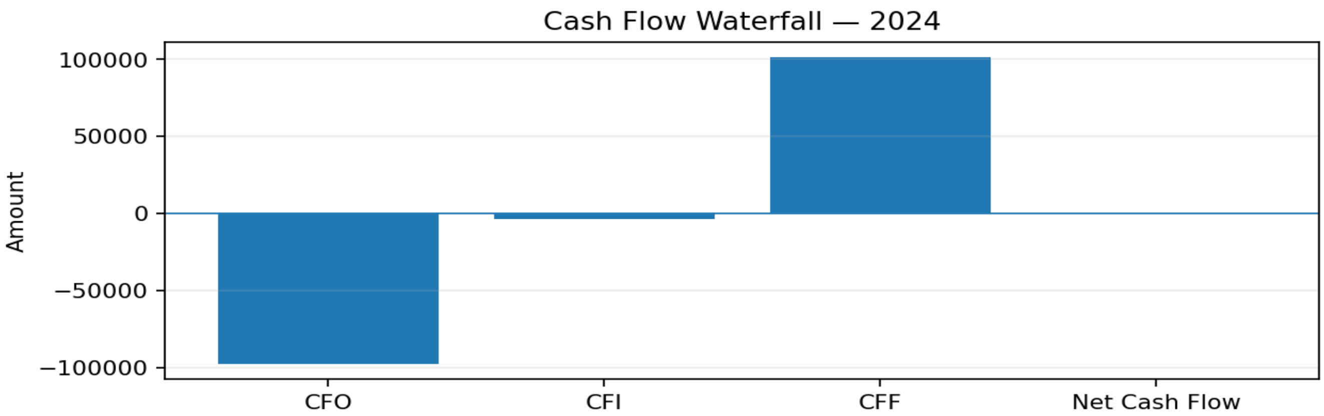
Power Finance Corporation Ltd (PFC)

Revenue CAGR 9.6%	**PAT CAGR** 24.4%	**ROE** 26.2%
ROCE 10.0%	**Debt/Equity** 8.52	**FCF Conversion** -297.9%









Capital Allocation: Distress Signal

Pros

• Profits growing faster than revenue demonstrate improving operating leverage and scale benefits.

• Consistently high return on equity above 20% demonstrates exceptional capital efficiency.

• Operating profit margin above 25% indicates strong pricing power and cost discipline.

Cons

• Net debt of approximately 24.07 times EBITDA represents high leverage and limits financial flexibility.

• Interest coverage ratio below 1.5x indicates risk in meeting debt obligations.

• Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.